

Predicted Paper 1 – Moderate

GCSE (9–1) Economics

J205/01 Introduction to Economics

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. Do not write in the barcodes.

Centre number Candidate number

First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. You can use extra paper if you need to, but you must clearly show your candidate number, the centre number and the question numbers.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions. Write your answer in the box provided at the end of each question.

1 Which of the following is a factor of production?

- A Consumer goods
- B Labour
- C Money
- D Final services

Your answer ☐ [1]

2 Opportunity cost is best described as

- A the money cost of producing a good
- B the amount of money paid for a product
- C the next best alternative given up when a choice is made
- D the total expenditure of a household

Your answer ☐ [1]

3 Cinema visits and streaming services are substitute goods. If the price of streaming services falls, the demand for cinema tickets is most likely to

- A decrease
- B increase
- C stay the same
- D become perfectly elastic

Your answer ☐ [1]

4 A firm has total fixed costs of £500 and total variable costs of £700 when producing 100 units. What is the average total cost per unit?

- A £5
- B £7
- C £12
- D £120

Your answer ☐ [1]

5 The supply of seats at a concert already sold out is most likely to be

- A price elastic
- B unitary elastic
- C price inelastic
- D perfectly inelastic

Your answer ☐ [1]

6 Specialisation by workers occurs when

- A firms produce a wide range of products
- B workers focus on a single task or product
- C consumers buy from only one shop
- D producers agree to set the same price

Your answer ☐ [1]

7 Which of these is an example of capital as a factor of production?

- A A baker kneading dough
- B A delivery van used by a bakery
- C Wheat growing in a field
- D An entrepreneur who starts a bakery

Your answer ☐ [1]

8 Anna has the following monthly pay statement. Wage: £2000 Income tax: £300 National Insurance: £180 Pension: £120 What is Anna's monthly net pay?

- A £1400
- B £1520
- C £1680
- D £1820

Your answer ☐ [1]

9 The Bank of England has decreased the rate of interest. What is the most likely effect on firms?

- A A decrease in borrowing to invest
- B An increase in borrowing to invest
- C An increase in the rate of saving
- D A decrease in the total demand for labour

Your answer ☐ [1]

10 A market can be best described as

- A a physical shop only
- B a place where buyers and sellers interact to exchange goods and services
- C a government-owned organisation
- D a type of advertising

Your answer ☐ [1]

11 If the price of a good is set above the equilibrium, the market will experience

- A excess demand
- B excess supply
- C equilibrium
- D perfect competition

Your answer ☐ [1]

12 A new study shows that blueberries have significant health benefits. As a result, consumers demand more and prices rise. Which role of price is this an example of?

- A Rationing
- B Signalling
- C Specialisation
- D Substitution

Your answer ☐ [1]

13 Petrol is a complement to cars. An increase in the price of petrol is most likely to cause

- A an increase in demand for cars
- B a decrease in demand for cars
- C an increase in supply of cars
- D a decrease in supply of cars

Your answer ☐ [1]

14 Which of the following is most likely to be a substitute for tea?

- A Milk
- B Sugar
- C Coffee
- D Biscuits

Your answer ☐ [1]

15 A firm plants trees to offset its carbon emissions. This is an example of which type of sustainability?

- A Economic
- B Social
- C Environmental
- D Financial

Your answer ☐ [1]

16 A firm increases its output per worker per hour. This is an example of

- A increased production
- B increased productivity
- C increased profit
- D increased price

Your answer ☐ [1]

17 The price of a good increases by 20% and the quantity demanded falls by 10%. The price elasticity of demand is

- A perfectly elastic
- B price elastic
- C price inelastic
- D unitary elastic

Your answer ☐ [1]

18 Which of the following is an example of non-price competition?

- A Firms lowering their prices
- B Firms offering loyalty cards and better customer service
- C Firms setting the same price as rivals
- D Firms colluding to fix prices

Your answer ☐ [1]

19 As a firm expands, its long-run average costs fall. This is an example of

- A diseconomies of scale
- B economies of scale
- C increasing marginal costs
- D perfectly inelastic supply

Your answer ☐ [1]

20 A household wants to deposit its monthly savings into an account that can be easily accessed. Which financial institution is most likely to be used?

- A A commercial bank
- B The Bank of England
- C The Treasury
- D An insurance company

Your answer ☐ [1]

SECTION B

Answer all the questions.

21 Extract 1

The coffee market

Coffee is a widely consumed drink across the world. Over the last year the world price of coffee has risen sharply following poor harvests in Brazil, one of the largest producers. The weather damage meant that supply to the world market fell significantly.

Demand for coffee is typically considered to be price inelastic. Consumers tend to view coffee as a daily necessity and are willing to pay higher prices, especially where they have a regular habit of buying it.

The retail coffee market in the UK is dominated by a small number of large multinational chains. This is an example of an oligopoly. The behaviour of these firms can influence prices for consumers. Smaller independent coffee shops must react to the pricing decisions of the large chains.

(a) Explain what is meant by demand.

[2]

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(b) Explain how an oligopoly, such as the UK retail coffee market, differs from a competitive market.

[2]

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[6]

(d)

(i) Using Extract 1, explain why demand for coffee is price inelastic.

[2]

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(ii) Explain one reason why smaller independent coffee shops must react to the pricing decisions of the large chains.

[2]

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[6]

22 Extract 2

A local bakery

Jamie runs a small bakery called Breadwinners. She has recently been asked by a local café chain to supply them with 200 loaves of bread each week for a fixed price of £1.50 per loaf.

Jamie has calculated the following weekly costs of fulfilling the order:

Item	Weekly cost (£)
Flour and other ingredients	50
Wages for assistant	120
Utilities and other overheads	80

Jamie sees the order as an opportunity to grow her business. She has recently hired an assistant and is using division of labour. She operates in the product market and is considering expanding production further in the future.

(a) Explain what is meant by division of labour.

[2]

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(b) Calculate the weekly profit Jamie will make on the order of 200 loaves. Show your working.

[2]

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Answer = £ _____

(c) Analyse the advantages for Jamie of her business making a profit.

[6]

(d)

(i) Explain why Jamie's bakery is part of the product market.

[2]

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(ii) Draw and label a diagram showing the likely change in supply if Jamie decides to expand production.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



[6]

23 Extract 3

A clothing retailer

Ravi owns a clothing shop called Threadworks in the town of Millfield. Three years ago he borrowed £200,000 from a commercial bank to expand the shop. At that time the interest rate was 4%, which meant monthly interest payments of £666.67.

The Bank of England has recently increased the rate of interest. Ravi's bank has told him that next month he will be charged 6.5% interest instead of 4%.

Ravi is also concerned that a new, larger clothing retailer has opened nearby. This could reduce the demand for Ravi's clothes. He is considering whether to specialise in a particular type of clothing, such as sportswear, to compete more effectively.

(a) Explain, using an example, what is meant by the rate of interest.

[2]

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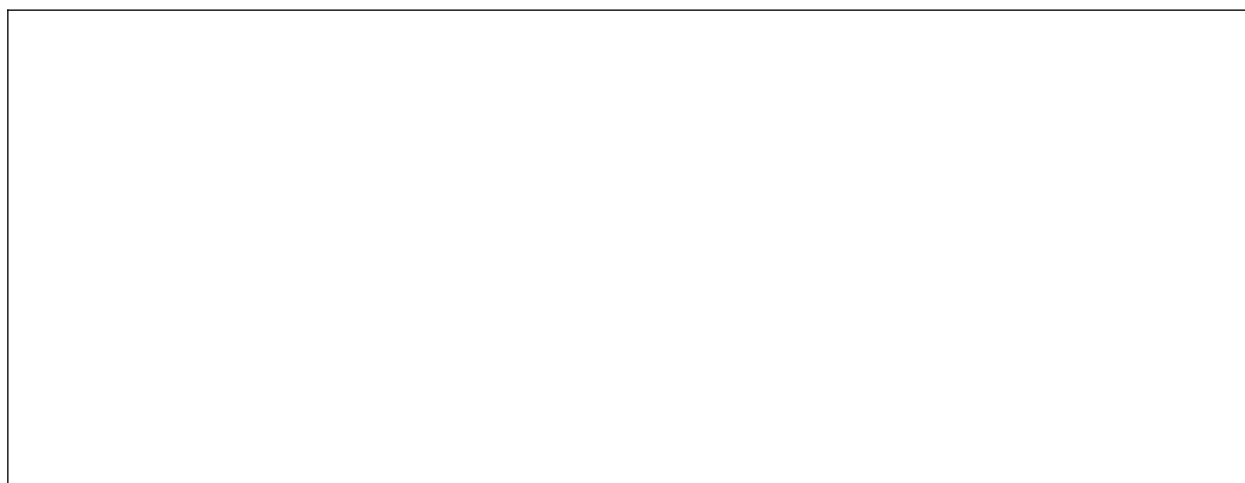
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(b) Draw and label a diagram showing the likely effect on the demand curve for Ravi's shop of a new, larger rival opening nearby.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



[6]

(d)

(i) Calculate Ravi's new monthly interest payment after the interest rate has increased to 6.5%. Show your working.

[2]

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Answer = £ _____

(ii) Explain the opportunity cost to Ravi of repaying his loan early rather than using that money to refurbish his shop.

[2]

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(iii)* Evaluate the benefits to Ravi of specialising in one type of clothing, such as sportswear. Use the information given in Extract 3 and your own knowledge.

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END OF QUESTION PAPER